

24TRCV01761 24TRCV01761

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-09-23

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Case Number: 24TRCV01761 Hearing Date: September 23, 2026 Dept: P

Motion to Enforce Settlement and Request for Sanctions

Moving Party: Plaintiffs Gabriela Hernandez and Lazaro Mendez Ramirez

Responding Party: Defendant American Honda Motor Co., Inc.

RULING

The court considered the moving papers, opposition, and reply. Plaintiffs' Motion to Enforce Settlement is GRANTED. Plaintiffs' request for sanctions is DENIED.

PROCEDURAL ISSUES

Code of Civil Procedure Section 1005(b) provides that "papers opposing a motion so noticed shall be filed with the court and a copy served on each party at least nine court days...before the hearing."

Here, the hearing on the instant motion is scheduled on September 23, 2026, while Honda filed its opposition brief on September 16, 2026, which is less than nine court days before the hearing. However, the court exercises its discretion to consider Honda's opposition.

PROCEDURAL BACKGROUND

On May 23, 2024, Plaintiffs Gabriela Hernandez and Lazaro Mendez Ramirez (collectively, "Plaintiffs") filed a complaint against Defendant American Honda Motor Co., Inc. ("Honda") and DOES 1 through 10, inclusive, alleging a single cause of action for Violation of the Song-Beverly Act – Breach of Express Warranty.

On April 23, 2026, Plaintiffs filed a Notice of Settlement of Entire Case.

On August 19, 2026, Plaintiffs filed the instant motion. On September 16, 2026, Honda filed an opposition and Plaintiff filed a reply.

FACTUAL BACKGROUND

Plaintiffs allege that on October 16, 2022, they entered into a warranty contract with Honda regarding a 2020 Acura RDX (the "Subject Vehicle"). (Complaint, ¶ 16.) Plaintiffs allege that defects and nonconformities to warranty manifested themselves within the applicable express warranty period. (Complaint, ¶ 17.) Plaintiffs allege that they delivered the Subject Vehicle to an authorized Honda repair facility, but Honda was unable to conform the Subject Vehicle to the applicable express warranty after a reasonable number of repair attempts. (Complaint, ¶¶ 18-19.)

LEGAL STANDARD

Code of Civil Procedure Section 664.6 provides the following:

"(a) If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If requested by the parties, the court may retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement.

(b) For purposes of this section, a writing is signed by a party if it is signed by any of the following:

(1) The party.

(2) An attorney who represents the party.

(3) If the party is an insurer, an agent who is authorized in writing by the insurer to sign on the insurer's behalf."

(Code Civ. Proc. Section 664.6.)

DISCUSSION

Moving Party's Argument

Plaintiffs move for an order enforcing settlement and entering judgment per the terms of Honda's Section 998 Offer accepted by Plaintiffs on April 23, 2026. In the alternative, Plaintiffs request that the court order Honda to accept surrender and make payment of the settlement funds within seven days of the order. Plaintiffs additionally move for an order imposing sanctions in the amount of \$1,455.00 against Honda and its counsel for its excessive delay in completing Honda's obligations pursuant to the parties' settlement agreement. Plaintiffs also request that the court award ten percent interest per annum at a rate of \$19.45 per day from the deadline of surrender according to the parties' settlement agreement until the date the instant motion is heard or the date Honda accepts surrender and makes payment.

Plaintiffs argue that more than 65 days have passed since Plaintiffs accepted Honda's Section 998 Offer, and thus Honda has failed to meet the deadline for surrender of the Subject Vehicle and payment. Plaintiffs argue that they have not received instructions on when and where to surrender the Subject Vehicle or receive any portion of the settlement funds.

Opposing Party's Argument

Honda argues that the instant motion is unnecessary and improper, as the surrender of the Subject Vehicle is already being processed by Honda with expedited service requested. Honda argues that it manages hundreds of settlements yet it has expedited the process to accommodate Plaintiffs' concerns. Honda argues that the instant motion burdens judicial resources, as Honda has a history of completing settlements in Song-Beverly cases. Next, Honda argues that its Section 998 Offer does not call for or allow entry of judgment, because it calls for payment, surrender and dismissal of the entire action with prejudice, with dismissal being entirely different from judgment. Honda next argues that Plaintiffs are not entitled to sanctions under CCP Section 128.5 because there is no evidence that Honda's actions have been frivolous or in bad faith, as Honda has worked to process the settlement and any delays are the result of logistical challenges rather than intentional misconduct. Finally, Honda argues that Plaintiffs are not entitled to interest because CCP Section 685.010 provides that interest accrues at a rate of ten percent per annum on the principal amount of a money judgment remaining unsatisfied, and here, no judgment may be entered pursuant to the parties' Section 998 settlement agreement.

Reply Argument

Plaintiffs argue that Honda has acknowledged that it failed to perform within the 65-day period and attempts to excuse its nonperformance based upon the volume of settlements handled by Honda. Plaintiffs argue that Honda's opposition is untimely and should be disregarded. Next, Plaintiffs argue that prejudgment interest may be available, and requests prejudgment interest. Finally, Plaintiffs reiterate their argument that sanctions are warranted against Honda and its counsel for their failure to timely complete their obligations under the terms of the settlement.

Merits of the Motion

Plaintiffs move to enforce Honda's Code of Civil Procedure Section 998 Offer, which Plaintiffs accepted on April 23, 2026. (Hicks Decl., ¶ 3; Exh. A.) Pursuant to the terms of the parties' settlement agreement, Honda agreed to pay \$71,000.00 to Plaintiffs and Plaintiffs' lender for the Subject Vehicle, if any. (Hicks Decl., Exh. A, p. 1.) The Section 998 Offer further states that "[i]t is an express condition of this Offer that, if accepted, [Honda] will perform its obligations within 65 days of acceptance on a mutually agreeable date and location, with Plaintiffs returning the Subject Vehicle to a mutually agreeable authorized Honda dealership..." (Hicks Decl., Exh. A, pp. 1-2.)

Plaintiffs' counsel declares that as of the filing of the instant motion, more than 65 days have elapsed since Plaintiffs' date of acceptance of Honda's Section 998 Offer, and Honda "has not performed, has not accepted surrender of the Subject Vehicle, has not provided a date certain for surrender or payment, and has not made payment of \$71,000.00." (Hicks Decl., ¶¶ 4-5.)

Plaintiffs' counsel further declares that Plaintiffs' counsel sent Honda's counsel a copy of the Subject Vehicle's title and registration and the preferred surrender location and requested the funds, but Honda did not respond after which Plaintiffs followed up on July 20, July 27, August 3, August 10, and August 17, 2026. (Hicks Decl., ¶¶ 6-7.)

Plaintiffs request a court order enforcing the parties' settlement and entering judgment per the terms of Honda's Section 998 Offer, in addition to an award of ten percent interest per annum at a rate of \$19.45 per day from the deadline of surrender according to the parties' settlement agreement until the date the instant motion is heard or the date Honda accepts surrender and makes payment. Plaintiffs additionally request that the court impose sanctions in the amount of \$1,455.00 against Honda and its counsel for Honda's excessive delay in completing its obligations pursuant to the parties' settlement agreement.

In opposition, Honda argues that it has worked proactively to complete its obligations, because the "surrender of the Subject Vehicle and payment are currently being processed with expedited service." (Zipser Decl., ¶ 2.) Honda's counsel also declares that Plaintiffs' counsel is "aware that there has never been a settlement in a case brought by Plaintiffs' Counsel against [Honda] involving Defense Counsel that has not ultimately been completed." Zipser Decl., ¶ 4.) Honda thus argues that delays are common in "high-volume lemon law litigation," and Plaintiffs' motion "burdens judicial resources unnecessarily." (Opp. 1:20-25.) Honda further argues that its Section 998 Offer does not allow for the entry of judgment, because it instead calls for payment, surrender, and dismissal of the entire action with prejudice.

The court observes that Honda's Section 998 Offer expressly provides that "Plaintiffs will dismiss this entire action with prejudice." (Hicks Decl., Exh. A, p. 2.) Pursuant to Code of Civil Procedure Section 664.6, the court has authority to enter judgment pursuant to the terms of the parties' settlement agreement because Plaintiffs and Honda have signed a writing outside of the presence of the court for settlement of the case. (See Code Civ. Proc. Section 664.6(a).)

The court notes that Honda's counsel has declared that Honda is currently processing the surrender of the Subject Vehicle and payment of funds pursuant to the parties' settlement agreement. (Zipser Decl., ¶ 2.) However, the court finds that Honda has not complied with the terms of the parties' settlement agreement, because Honda has not yet accepted surrender of the Subject Vehicle or tendered any portion of the settlement payment to Plaintiffs.

Therefore, the court exercises its discretion under Code of Civil Procedure Section 664.6 to enforce the parties' settlement terms. Additionally, the court finds that Plaintiffs are entitled to interest accrued for the time Honda remains in violation of the parties' settlement agreement, pursuant to Code of Civil Procedure Section 685.010 which requires interest "accru[ing] at the rate of 10 percent per annum on the principal amount of a money judgment remaining unsatisfied." (Code Civ. Proc. Section 685.010(a)(1).) Here, the court is exercising its discretion to enter judgment pursuant to the terms of the parties' settlement agreement, and thus Section 685.010 applies. The court declines to find that Plaintiffs are entitled to prejudgment interest, as the authority identified by Plaintiffs is inapplicable, as the court there addressed the availability of prejudgment interest under Civil Code Section 3288. (Towns v. Hyundai Motor America (2025) 117 Cal.App.5th 958, 972-973.) Civil Code Section 3288 provides that "[i]n an action for the breach of an obligation not arising from contract...interest may be given, in the discretion of the jury." (Civ. Code Section 3288.) This code section is inapplicable to the context of settlement.

Sanctions

Plaintiffs additionally seek sanctions pursuant to Code of Civil Procedure Section 128.5 on the grounds that Honda and Honda's counsel have failed to timely complete their obligations under the terms of the parties' settlement. Plaintiffs seek a total of \$1,455.00 in sanctions against Honda and its counsel due to the "unexplained delay in completing this settlement with Plaintiff(s)." (Hicks Decl., ¶ 11.)

Under Code of Civil Procedure Section 128.5, the court may order a party or counsel, or both, "to pay the reasonable expenses, including attorney's fees, incurred by another party as a result of actions or tactics, made in bad faith, that are frivolous or solely intended to cause unnecessary delay." (Code Civ. Proc. Section 128.5(a).) The court must find both objective unreasonableness and subjective bad faith. (Guillemin v. Stein (2002) 104 Cal.App.4th 156, 167.) Frivolous means "totally and completely without merit or for the sole purpose of harassing an opposing party." (Code Civ. Proc. Section 128.5(b)(2).) Bad faith means the actions were taken "without subjective good faith or honest belief in the propriety or reasonableness of such actions..." (In re Marriage of Sahafzadeh-Taeb & Taeb (2019) 39 Cal.App.5th 124, 135.) Sanctions require "extremely high proof" and "truly egregious behaviors." (San Diegans for Open Government v. City of San Diego (2016) 247 Cal.App.4th 1306, 1318-19.) The burden is on the moving party. (Bach v. McNelis (1989) 207 Cal.App.3d 852.)

The court finds that Plaintiffs have not met their burden of showing that Honda or its counsel engaged in "truly egregious behaviors" or that either acted in bad faith. (San Diegans for Open Government, supra, 247 Cal.App.4th at 1319.) Therefore, the court finds that sanctions are unwarranted under the circumstances.

Accordingly, the court declines to impose sanctions on Honda or its counsel.

CONCLUSION

Based on the foregoing, Plaintiffs' Motion to Enforce Settlement is GRANTED. Plaintiffs' request for sanctions is DENIED.

Moving party is ordered to give notice of ruling.